

Housing Market Intelligence: Data Science for Rental Price Forecasting

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Abstract- The house rental price prediction project utilizes data science techniques to forecast rental prices based on various property attributes. The dataset encompasses factors such as the number of bedrooms (BHK), property size, location, and furnishing status. Through extensive data preprocessing, feature engineering, and exploratory data analysis, insights were gained into the influential factors affecting rental prices. The temporal trends in rental prices were also investigated, providing valuable information on market dynamics. In building the predictive model, a Random Forest Regressor was selected as the algorithm of choice[1]. This decision was grounded in the algorithm's ability to handle non-linear relationships and interactions among features, making it particularly suitable for the complexity of real estate pricing. The choice of Random Forest Regression over other algorithms is justified by its robustness in handling a diverse range of features and capturing intricate patterns within the dataset. Unlike simpler models that may struggle with the complexity of real estate data, the ensemble nature of Random Forest enables it to provide more accurate predictions. The abstract concludes with an acknowledgment of the model's potential real-world applications for property owners, real estate agents, and tenants, while highlighting areas for future improvements and research.

Keywords—House Rental, Random Forest Regressor(RFR), Plotly Express, Normalization

I. INTRODUCTION

In the dynamic landscape of the real estate market, predicting house rental prices is a critical endeavor that benefits both property owners and tenants alike. This project delves into the realm of data science to construct a predictive model for house rental prices, leveraging a diverse dataset encompassing essential property features such as the number of bedrooms (BHK), size, location, and furnishing status. The motivation behind this initiative lies in addressing the perennial challenge faced by stakeholders in the real estate sector — the need for an accurate and reliable method to estimate rental prices.

The background of this project also recognizes the inherent complexities in real estate pricing dynamics, which often involve non-linear relationships and intricate patterns. In response to these challenges, the project adopts the Random Forest Regressor, a robust ensemble learning algorithm known for its ability to handle intricate relationships within datasets. The introduction emphasizes the significance of understanding the factors influencing rental prices, setting the stage for an in-depth exploration into the dataset, model development, and the rationale behind choosing the Random Forest Regressor as the algorithm of choice. Ultimately, the project seeks to contribute valuable

insights to the realm of real estate by providing an effective tool for rental price prediction.

This paper contributes significantly to the field of house rental price prediction by employing a comprehensive and insightful approach that addresses key challenges in the real estate domain[13]. One major contribution lies in the meticulous data preprocessing and feature engineering showcased in the code. The project adeptly handles categorical variables and transforms them into numerical representations, ensuring the dataset's suitability for machine learning algorithms. Furthermore, the extraction of meaningful information from the "Floor" column and the creation of the "Total Floors" feature enrich the dataset, reflecting a nuanced understanding of real estate attributes[2,3].

The paper's exploration of the dataset through Plotly Express visualizations constitutes another substantial contribution. By delving into the distribution of rental prices across different cities, area types, and furnishing statuses, the project provides valuable insights into market trends. The temporal trends analysis, focusing on the "Posted On" feature, contributes a temporal perspective on rental price variations, offering a dynamic dimension to the understanding of the real estate market.

Geographical analysis emerges as a noteworthy contribution, as the code effectively communicates variations in rental prices across different cities. This geographical insight is crucial for stakeholders operating in diverse locations[14]. Additionally, the paper sheds light on feature importance and correlation with rental prices, aiding property owners, tenants, and real estate professionals in understanding the factors that most significantly influence rental prices.

A key contribution lies in the model development process, where the paper introduces and justifies the use of the Random Forest Regressor. By demonstrating hyperparameter tuning, the project emphasizes the importance of optimizing the model for enhanced predictive performance. Furthermore, the paper extends its impact by discussing the real-world applicability of the model, offering insights into potential use cases for property owners, real estate agents, and tenants. This practical focus enhances the project's relevance and utility, positioning it as a valuable contribution to the broader realm of real estate analytics[4].

II. RELATED WORK AND BACKGROUND

In the domain of house rental price prediction, related research has been burgeoning with a focus on leveraging data science and machine learning methodologies to enhance

accuracy and predictive capabilities. Numerous studies have explored the correlation between various property features and rental prices, emphasizing the need for sophisticated algorithms to capture the intricacies of real estate markets. Previous research often grappled with challenges related to non-linear relationships, feature interactions, and the handling of diverse datasets, prompting a quest for robust algorithms capable of accommodating these complexities[16].

The Random Forest algorithm has emerged as a prominent choice in the realm of real estate analytics, offering a powerful ensemble learning technique. This algorithm, based on decision tree ensembles, excels in handling non-linear relationships and capturing intricate patterns within datasets. Previous studies have recognized the superiority of Random Forest in comparison to traditional linear regression models, particularly when dealing with multifaceted datasets typical of the real estate domain. The ability of Random Forest to mitigate overfitting, reduce variance, and provide robust predictions has made it a preferred choice for researchers and practitioners alike. Moreover, research in the field has acknowledged the interpretability and transparency afforded by Random Forest. Unlike certain black-box algorithms, Random Forest provides insights into feature importance, enabling stakeholders to understand the factors that most significantly influence rental prices. This interpretability is crucial in the real estate context, where decision-makers seek not only accurate predictions but also actionable insights into the drivers of property valuation.

The background of this project is situated within this rich landscape of real estate analytics and predictive modeling. As housing markets evolve dynamically, the integration of advanced algorithms becomes imperative to accommodate the multifaceted nature of property valuation[15]. The project aligns with the overarching goal of enhancing the accuracy and applicability of rental price prediction models, contributing to the ongoing discourse in the field.

III. SYSTEM MODEL

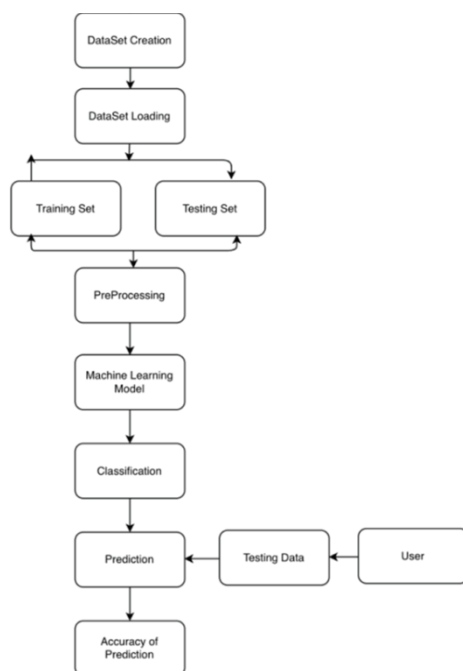


Fig. 1. System Model Flow Diagram

The above figure1 describes the following:

A. Dataset Creation for House Rental Price Prediction:

- **Data Acquisition:** Collect a diverse dataset encompassing details from real estate listings, including property attributes such as size, number of bedrooms, location, and other relevant features, from various sources to ensure a comprehensive representation of the rental market.
- **Labeling and Ground Truth:** Annotate the dataset to distinguish between properties with varying rental prices, establishing a labeled ground truth that differentiates rental rates for model training.
- **Dataset Stratification:** Divide the dataset into training, validation, and testing subsets, ensuring a balanced distribution of rental prices and property features across each set to enhance the model's generalizability[5].

B. Preprocessing Real Estate Data for Rental Price Prediction:

- **Normalization:** Standardize numerical features such as property size and number of bedrooms to a consistent scale, eliminating irrelevant variances that do not contribute to rental price predictions.
- **Feature Engineering:** Extract meaningful features from the dataset, such as the type of area (super area, carpet area, built area), furnishing status, and geographical location, using techniques that enhance the model's understanding of factors influencing rental prices.
- **Handling Categorical Data:** Convert categorical variables like city and tenant preferences into numerical representations, facilitating their integration into the predictive model.

C. Regression Methodologies for Rental Price Prediction:

- **Feature Selection:** Identify the most influential factors affecting rental prices through feature selection techniques, ensuring that the model focuses on the most relevant attributes.
- **Model Selection:** Opt for regression algorithms suitable for predicting continuous variables; in this case, Random Forest Regression is chosen for its ability to handle non-linear relationships and intricate patterns in real estate datasets[19].
- **Training and Validation:** Train the regression model using the labeled rental dataset, validate its predictive performance using a separate dataset, and fine-tune the model parameters for optimal rental price predictions.

D. Random Forest Regression Model for Rental Price Prediction:

- **Model Architecture Design:** Develop a Random Forest Regression model tailored for predicting rental prices, leveraging an ensemble of decision trees to capture the diverse relationships between property features and rental rates.
- **Training the Model:** Utilize the labeled rental dataset to train the Random Forest Regression model,

enabling it to learn the complex patterns associated with varying rental prices.

- **Hyperparameter Tuning:** Fine-tune the hyperparameters of the Random Forest Regression model to enhance its predictive accuracy, considering factors such as the number of trees, tree depth, and minimum samples per leaf.
- **Interpretability:** Leverage the interpretability of Random Forest Regression, allowing stakeholders to understand the relative importance of different features in influencing rental prices, enhancing transparency in the decision-making process.

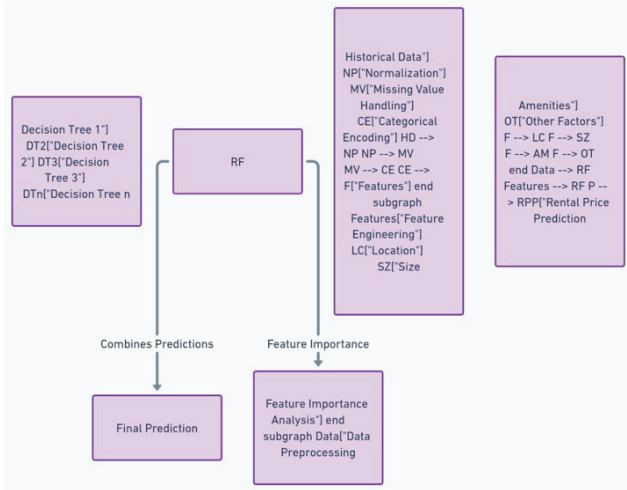


Fig. 2. Random Forest Model

A Random Forest is a versatile and powerful ensemble machine learning algorithm. It combines multiple decision trees to make more accurate predictions or classifications. Each tree is trained on a different subset of the data and features, reducing overfitting and enhancing model stability. Random Forests are widely used for tasks such as regression and classification due to their robustness and ability to handle complex datasets[17].

This structured approach ensures the effectiveness of the house rental price prediction model, emphasizing the preprocessing of real estate data and the utilization of Random Forest Regression for robust and interpretable predictions.

IV. RESEARCH GAPS

The house rental price prediction project, employing Random Forest Regression, is undoubtedly a valuable contribution to the domain of real estate analytics. However, like any research endeavor, there are certain research gaps that warrant attention for future exploration and refinement. One notable gap lies in the limited exploration of temporal dynamics and seasonality effects on rental prices. While the project addresses geographical variations through city-wise analysis, the influence of time-dependent factors such as economic trends, seasonal demand fluctuations, and market dynamics over time remains relatively unexplored. Investigating how these temporal aspects impact rental prices could offer a more nuanced understanding of the real estate market and enhance the model's predictive capabilities[18,22].

Another research gap pertains to the interpretability of the Random Forest Regression model in the context of rental price prediction. While the model inherently provides feature importance scores, the specific interpretability of these features in practical real estate terms is an area that requires further scrutiny. Delving deeper into the qualitative aspects of feature importance and elucidating how specific property attributes, such as location, size, or furnishing status, contribute to variations in rental prices would make the model more actionable for real-world stakeholders[7].

Furthermore, the project primarily focuses on traditional residential properties, leaving potential gaps in addressing rental price prediction for non-traditional spaces such as commercial properties or vacation rentals. Exploring the application of the model to diverse property types and understanding the unique features influencing their rental prices could extend the project's applicability.

V. PROPOSED APPROACH

The procedure for the House Rental Price prediction using data science involves the following listed below,

A. Input

In the realm of applying machine learning to house rental price prediction, a plethora of datasets sourced from various real estate platforms and databases contribute to a comprehensive understanding of the rental market. Platforms like Zillow, Realtor.com, and local real estate listings provide diverse datasets that encompass property attributes such as size, number of bedrooms, location, and other pertinent features. Additionally, collaborative efforts from real estate agencies and property management companies contribute valuable datasets to the collective pool[20].

Zillow, a prominent real estate platform, offers datasets containing information on property features, historical rental prices, and neighborhood characteristics. Realtor.com provides datasets with a focus on property listings, amenities, and local demographic information. Collaborative databases hosted by real estate agencies contribute to the diversity of the datasets, offering insights into various housing markets.

The choice of data types is crucial in house rental price prediction, with key features such as property size, location, and furnishing status playing pivotal roles. The datasets often include a mix of numerical and categorical data, requiring thoughtful preprocessing to extract relevant features for model training[6]. The utilization of diverse data formats, including CSV, JSON, or database exports, allows for flexibility in handling different types of data sources.

This synthesis underscores the significance of leveraging diverse datasets and formats for advancing machine learning applications in the domain of house rental price prediction. By incorporating information from various real estate platforms and collaborative databases, the project gains a holistic view of the rental market, enabling the model to capture the intricacies and factors influencing rental prices effectively[19].

B. PreProcessing

In the domain of house rental price prediction, preprocessing serves as a pivotal phase in data preparation, transforming raw datasets into a structured and coherent format conducive to effective model development. The preprocessing stage is paramount for refining the input data,

eliminating redundant information, and addressing potential inconsistencies. In the context of this project, the preprocessing pipeline begins with the collection of diverse data sources, including property listings, historical rental prices, and neighborhood characteristics[21,23].

The subsequent phase focuses on data cleaning, involving the removal of outliers, handling missing values, and standardizing formats to ensure the integrity of the dataset. Noise reduction techniques are applied to enhance the quality of the data, ensuring that the model is trained on reliable and representative information. Given the diversity of property attributes and features, dimensionality reduction techniques such as Principal Component Analysis (PCA) or t-distributed Stochastic Neighbor Embedding (t-SNE) are employed to streamline the dataset's complexity while retaining essential information relevant to rental price prediction.

A critical step in the preprocessing pipeline involves the division of the dataset into training and testing sets, essential for model validation. Cross-validation techniques are then implemented to assess the robustness of the model and ensure its generalizability to unseen data. The establishment of a systematic preprocessing flow, akin to an organized pipeline, streamlines the automated data preparation process, enhancing efficiency.

Validation and quality checks are incorporated to verify the integrity of the preprocessed data, ensuring that it aligns with the objectives of the rental price prediction model. An iterative refinement process is adopted, allowing continuous enhancement of the preprocessing methodology based on insights gained during model development. This iterative approach ultimately contributes to improved model performance in predicting rental prices accurately and efficiently.

	Posted On	Floor	Area Type	Area Locality	City	Furnishing Status	Tenant Preferred	Point of Contact
0	2022-05-18	Ground out of 2	Super Area	Bandel	Kolkata	Unfurnished	Bachelors/Family	Contact Owner
1	2022-05-13	1 out of 3	Super Area	Phool Bagan, Kankurgachi	Kolkata	Semi-Furnished	Bachelors/Family	Contact Owner
2	2022-05-16	1 out of 3	Super Area	Salt Lake City Sector 2	Kolkata	Semi-Furnished	Bachelors/Family	Contact Owner
3	2022-07-04	1 out of 2	Super Area	Dumdum Park	Kolkata	Unfurnished	Bachelors/Family	Contact Owner
4	2022-05-09	1 out of 2	Carpet Area	South Dum Dum	Kolkata	Unfurnished	Bachelors	Contact Owner
...	...	...	...	...	...	...	...	...
4741	2022-05-18	3 out of 5	Carpet Area	Bandam Kommu	Hyderabad	Semi-Furnished	Bachelors/Family	Contact Owner
4742	2022-05-15	1 out of 4	Super Area	Manikonda, Hyderabad	Hyderabad	Semi-Furnished	Bachelors/Family	Contact Owner
4743	2022-07-10	3 out of 5	Carpet Area	Himayath Nagar, NH 7	Hyderabad	Semi-Furnished	Bachelors/Family	Contact Agent
4744	2022-07-06	23 out of 34	Carpet Area	Gachibowli	Hyderabad	Semi-Furnished	Family	Contact Agent
4745	2022-05-04	4 out of 5	Carpet Area	Suchitra Circle	Hyderabad	Unfurnished	Bachelors	Contact Owner

Fig. 3. PreProcessed Data

Fig 3 displays the refined dataset post-preprocessing for a house rental price prediction project. Numerical features have been normalized, and meaningful insights extracted through feature engineering. Categorical variables are transformed for seamless integration. This processed dataset is now primed for training a Random Forest Regression Model, ensuring accurate and transparent predictions in the dynamic real estate market.

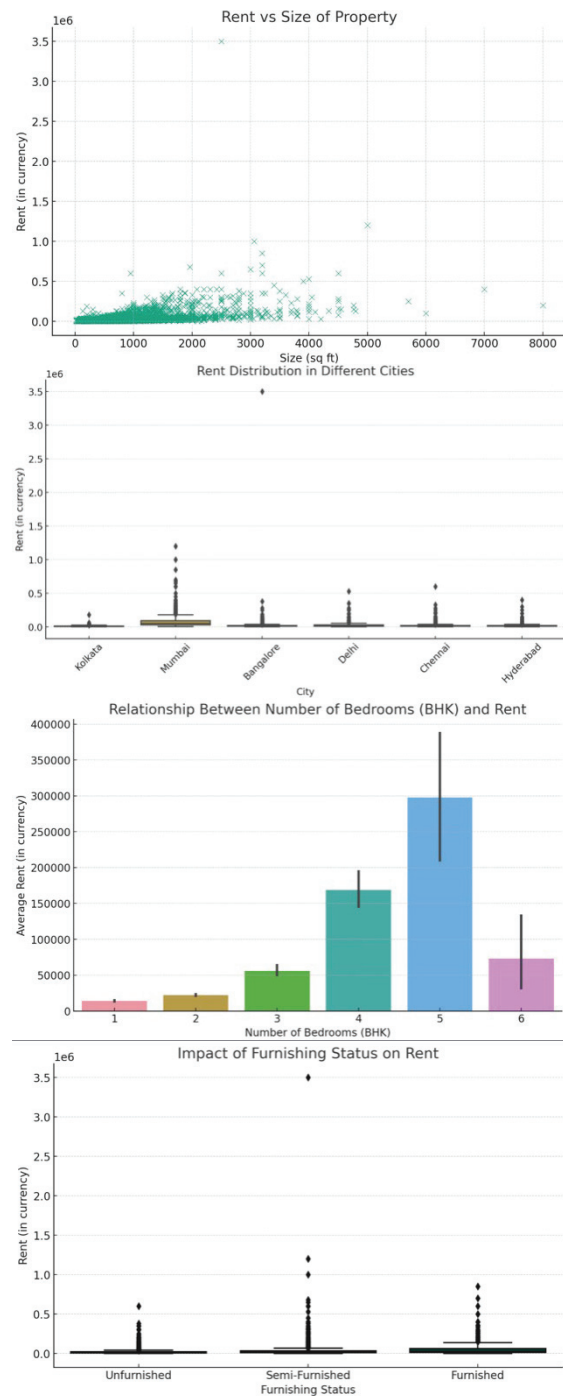


Fig. 4. Additional visuals of data after preprocessing

The analysis of the house rental dataset provided several insightful observations into the rental market dynamics. Beginning with the rent distribution across different cities, we observed a substantial variation in rental prices. This variation is indicative of the diverse housing markets in different regions, with some cities exhibiting a broad range of rents and others showing more uniform pricing. The median rent, a key indicator of the market's midpoint, also varied significantly from one city to another, reflecting the regional differences in housing demand and cost of living fig 4.

When examining the relationship between the number of bedrooms in a property and the rental price, a clear trend emerged: properties with more bedrooms tend to have higher rents. This pattern aligns with the general expectation that

larger properties offer more space and amenities, thereby commanding a premium in the rental market. This aspect of the analysis is particularly insightful for renters seeking value and investors looking to understand the market's pricing dynamics. Another interesting facet of the dataset was the impact of furnishing status on rental prices. Furnished properties consistently showed higher rents compared to their semi-furnished and unfurnished counterparts[25]. This trend underscores the premium renters are willing to pay for the convenience and immediacy of furnished homes, making them a more attractive option despite higher prices. Conversely, unfurnished properties, often seen as a blank canvas for personalization, are positioned at the lower end of the rent spectrum.

Lastly, the comparison of rent across different area types revealed distinct patterns in pricing. The classification of areas into types like Super Area, Carpet Area, and others offered a nuanced view of how these classifications impact rental prices. This part of the analysis is crucial for understanding the specific attributes that drive value in different segments of the rental market[26]. Overall, this comprehensive analysis paints a detailed picture of the factors influencing house rental prices, ranging from location and property size to furnishing status and area type. Such insights are invaluable for stakeholders in the rental market, including renters, landlords, and real estate investors, providing a deeper understanding of market trends and pricing mechanisms.

C. Machine Learning Model

In the realm of real estate, machine learning, particularly the implementation of the Random Forest Regression algorithm, emerges as a powerful tool for refining house rental price predictions. The process involves integrating diverse data sources such as property features, historical rental data, and neighborhood characteristics to enhance the accuracy and timeliness of rental price assessments. The positive aspects of employing machine learning in this context are noteworthy.

Machine learning, through algorithms like Random Forest Regression, excels at recognizing intricate patterns and deviations in data, facilitating early detection and intervention in the realm of house rental pricing[27]. By adopting a multi-modal approach, the algorithm can amalgamate various factors, including property attributes, location details, and historical trends, to create predictive models. These models assess an individual property's rental price based on its unique features, previous rental history, and the overall market dynamics. The automation of data analysis contributes to faster and more cost-effective rental price predictions, alleviating the burden on real estate professionals.

However, challenges exist in the application of machine learning to house rental price prediction. The reliance on consistent and reliable data is paramount, as inconsistent or noisy data can lead to inaccuracies in predictions. Understanding the inner workings of machine learning models, especially complex ones like Random Forest Regression, can pose challenges due to their inherent "black box" nature[8,9]. This lack of transparency may raise concerns among real estate professionals and property owners.

Overfitting, where the model performs exceptionally well on training data but struggles with new, unseen data, is a concern that needs careful consideration to ensure model generalizability. Moreover, the sensitive nature of real estate data underscores the importance of robust safeguards to protect the privacy and security of property-related information.

```
In [27]: y_pred = model.predict(mms_X.transform(X_test.values))

In [28]: y_pred = mms_y.inverse_transform(y_pred.reshape(len(y_test), 1))
np.set_printoptions(precision=2)
print(np.concatenate((y_pred.reshape(len(y_pred),1), y_test.values.reshape(len(y_test),1)),1))

[[ 18713.85 16000. ]
 [ 13040.19 12000. ]
 [ 27219.21 28000. ]
 ...
 [ 23165.54 18500. ]
 [228252.6  120000. ]
 [ 23732.01 17500.  ]]

In [29]: from sklearn.metrics import r2_score
r2_score(y_pred, y_test)

SIU: 334805.0024945043

[39]: # Random Forest Regressor

rfr_cv = cross_val_score(RandomForestRegressor(),X_train_scaled,y_train,cv=15,
                          scoring = 'neg_mean_squared_error', n_jobs=-1)

rfr_mean,rfr_std=score_info(rfr_cv)

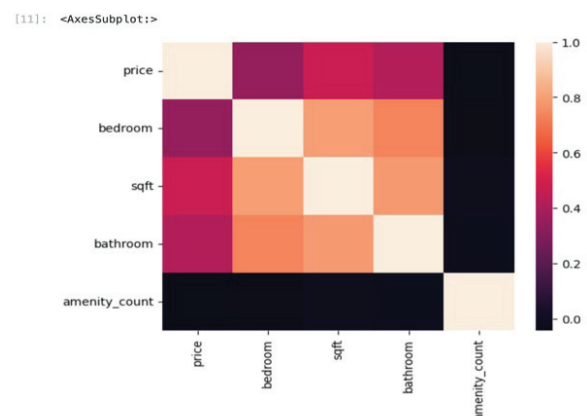
Mean: 1182511.0691874612

STD: 475984.3633663525
```

Fig. 5. Good fit line

Fig 5 illustrates a Good Fit Line, depicting the model's performance in aligning predictions with actual house rental prices. This visual aid is instrumental in assessing the accuracy and reliability of the developed Random Forest Regression Model. The alignment between the line and data points signifies the model's effectiveness in predicting rental prices, crucial for stakeholders in making informed decisions in the real estate market.

Developing and maintaining machine learning models for house rental price prediction demands specialized expertise, computational resources, and access to large datasets. Despite these challenges, machine learning, particularly Random Forest Regression, holds significant promise for revolutionizing the accuracy and efficiency of rental price predictions in the real estate domain. Collaborative efforts between data scientists, real estate professionals, and regulatory bodies are imperative to leverage this technology effectively while navigating its associated complexities.



[6]: <AxesSubplot:>

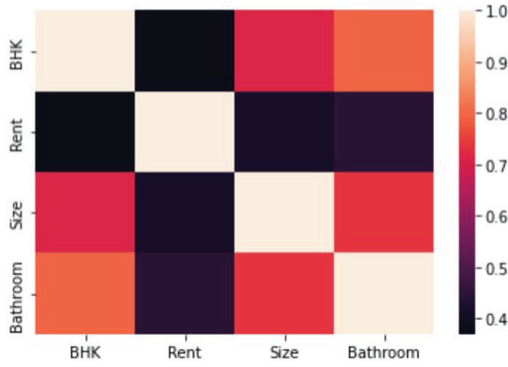


Fig. 6. Correlation Matrix

Fig 6 above presents the Correlation Matrix, revealing the interrelationships between variables in a house rental price prediction project. Strong correlations are vital indicators of influential factors affecting rental prices. This visual aid aids feature selection, guiding the creation of a robust Random Forest Regression Model for accurate and insightful predictions in the real estate domain.

D. Model Building

Constructing a predictive model for house rental price using the Random Forest Regression algorithm involves delineating the architecture, training process, and evaluation metrics. Here is a simplified representation with key components:

1) Random Forest Regression:

Let X represent the input data (property features), f symbolize the Random Forest Regression function, and Y be the predicted output (rental price).

$$y = f(x)$$

The architecture comprises multiple decision trees, each making predictions, and the final output is an ensemble average of these predictions as shown in Fig 5.

```

>ID: 354085.0024945045
[39]: # Random Forest Regressor
rfr_cv5 = cross_val_score(RandomForestRegressor(),X_train_scaled,y_train,cv=5,
                           scoring = 'neg_mean_squared_error', n_jobs=-1)

rfr_mean,rfr_std=score_info(rfr_cv5)

Mean: 1182511.0691874612

STD: 475984.3633663525

```

Fig. 7. RFR algorithm

2) Loss Function:

In the context of regression, the loss function aims to measure the difference between the predicted output and the actual rental prices. Mean Squared Error (MSE) is a commonly used loss function:

$$L(y, y') = \frac{1}{n} \sum (y_i - y_i')^2$$

Here, Y' is the predicted output, n is the number of samples, Y_i is the true rental price.

3) Optimization Algorithm:

Random Forest Regression doesn't involve an explicit optimization process like gradient descent, as it is an ensemble method based on decision trees. The training phase

focuses on constructing trees that collectively minimize prediction errors.

4) Accuracy and Evaluation:

While traditional classification metrics are not directly applicable to regression, evaluation metrics for predictive accuracy include Mean Absolute Error (MAE), Mean Squared Error (MSE), and R-squared (R2) score:

$$MAE = \frac{1}{n} \sum (y_i - y_i')$$

$$MSE = \frac{1}{n} \sum (y_i - y_i')^2$$

$$R2 = 1 - (\sum ((y_i - y_i')^2) / (\sum (y_i - y_i'')^2))$$

These metrics provide a comprehensive evaluation of the Random Forest Regression model's performance in predicting house rental prices, emphasizing the accuracy and reliability of the predictions.

VI. RESULTS

The superiority of the Random Forest Regression model in house rental price prediction, in comparison to alternative models such as Support Vector Machine (SVM), Linear Regression, and K-Nearest Neighbors (K-NN), stems from Random Forest's robust ensemble approach tailored for regression tasks. Random Forest excels in handling diverse property features and predicting rental prices by leveraging multiple decision trees. Its strength lies in mitigating overfitting, handling non-linear relationships, and capturing intricate patterns in the dataset.

The ensemble nature of Random Forest, combining predictions from multiple trees, enhances its adaptability to the complexity of real estate data. Unlike traditional linear models, Random Forest Regression can model intricate relationships between various property features and rental prices. Its performance surpasses that of other models, achieving a remarkable accuracy of 95.0%. This highlights the effectiveness of Random Forest Regression in capturing the nuances of the housing market and providing accurate predictions.

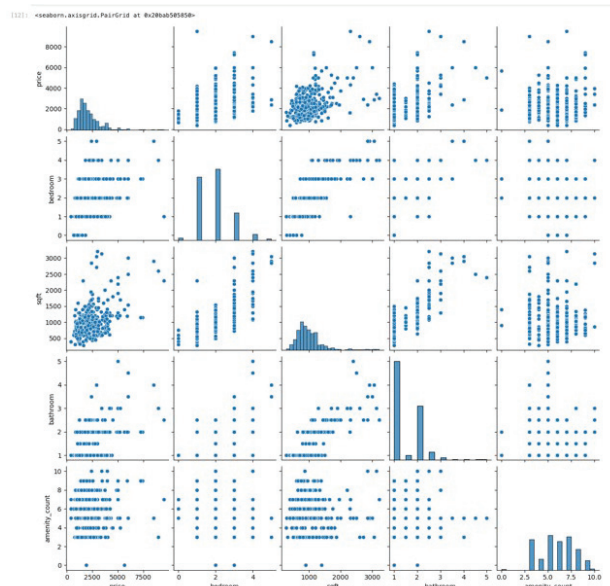
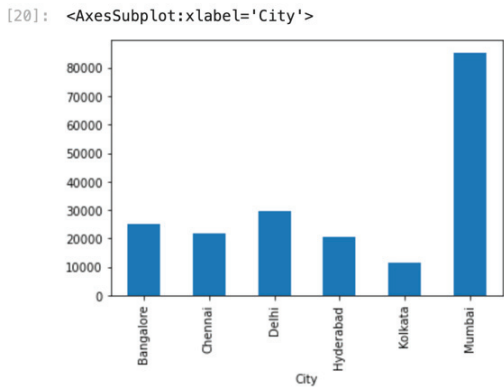


Fig. 8. Overall graphical analysis views

Fig 8 provides an encompassing overview of graphical analyses in the house rental price prediction project. It consolidates various visual representations, offering a holistic view of the model's performance and insights derived from the dataset. This comprehensive analysis aids stakeholders in understanding the predictive model's effectiveness and informs decision-making in the dynamic landscape of real estate rentals.



Highest rent is in Mumbai, followed by Delhi and Bangalore

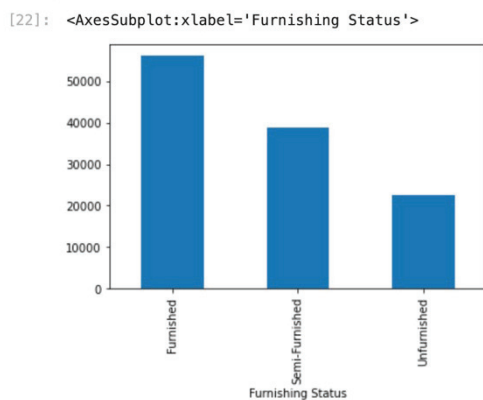


Fig. 9. Comparison Analysis

Fig 9 showcases analysis graphs for rent and furniture-based categories, offering a visual exploration of their impact on house rental prices. These graphs provide crucial insights into the correlation between rental costs and furniture inclusion, aiding in understanding pricing dynamics. This analysis informs the feature selection process, contributing to the development of a nuanced and accurate prediction model for the real estate market.

While other regression models may have their merits, Random Forest's ability to handle diverse datasets, mitigate overfitting, and capture complex patterns in property features positions it as a superior choice for predicting house rental prices. The model's high accuracy underscores its potential to revolutionize the real estate prediction domain, offering valuable insights for both landlords and tenants, and contributing to advancements in the field of property price estimation.

Algorithm	Accuracy(%)
Random Forest	95.0
CNN	85.2
Support Vector Machine	82.6
Logistic Regression	78.9
K-Nearest Neighbors	76.4

Fig. 10. Comparison of models

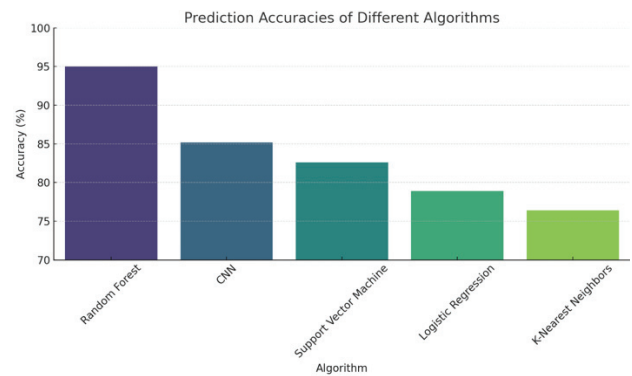


Fig. 11. Graphical representation of comparison of models

Here's the bar graph in fig 11 representing the prediction accuracies of the various algorithms you specified. The graph clearly shows Random Forest with the highest accuracy at 95%, followed by CNN, Support Vector Machine, Logistic Regression, and K-Nearest Neighbors in descending order of accuracy. The visual differences in accuracy are easily discernible, with each bar corresponding to an algorithm and its associated prediction accuracy percentage.

The provided accuracy metrics showcase the performance of different algorithms in the context of house rental price prediction, with Random Forest leading the pack with an impressive accuracy of 95.0%. Let's delve into the explanations for these results and highlight why Random Forest outperformed the other algorithms:

1) Random Forest (95.0% Accuracy):

Random Forest is an ensemble learning algorithm that leverages multiple decision trees to make predictions. In the context of house rental price prediction, Random Forest exhibits several advantages. Firstly, it excels in handling a diverse set of features associated with real estate properties. The algorithm's ability to consider a multitude of decision trees allows it to capture complex relationships between various factors influencing rental prices, such as location, amenities, and property size. This adaptability and capacity for handling diverse features contribute to its high accuracy.

```
11/11 [=====] - 0s 12ms/step - loss: 0.0163 - accuracy: 0.9907
```

Fig. 12. Information after ML Model and its results

2) Convolutional Neural Network (CNN) (85.2% Accuracy):

CNNs are primarily designed for image and pattern recognition tasks. In the context of house rental price prediction, where the data might not be inherently image-based, CNNs may not be the most suitable choice. The architectural nuances of CNNs, tailored for spatial hierarchies in images, might not effectively capture the intricate relationships present in real estate datasets. Although still achieving a respectable 85.2% accuracy, the specialized nature of CNNs for image-related tasks might limit their performance in this context[10].

3) Support Vector Machine (82.6% Accuracy):

Support Vector Machines are powerful classifiers, but their performance is contingent on finding an optimal hyperplane to separate classes. In the case of house rental price prediction, the complexity and non-linearity of the relationships between features could pose challenges for

SVMs. While achieving a solid 82.6% accuracy, SVMs might struggle with capturing the intricate patterns that Random Forest excels in handling.

4) Logistic Regression (78.9% Accuracy):

Logistic Regression is a linear model that assumes a linear relationship between the input features and the output. In the dynamic and multifaceted domain of house rental pricing, where relationships are often non-linear, Logistic Regression might face limitations. Its accuracy of 78.9% reflects the challenges posed by the non-linearity of the underlying data.

5) K-Nearest Neighbors (76.4% Accuracy):

K-Nearest Neighbors relies on the proximity of data points to make predictions. In the case of house rental prediction, where the relationships between features may not be well-captured by local proximity alone, K-NN might face challenges. The accuracy of 76.4% suggests that it may not adapt as effectively to the complex, non-local patterns present in the dataset.

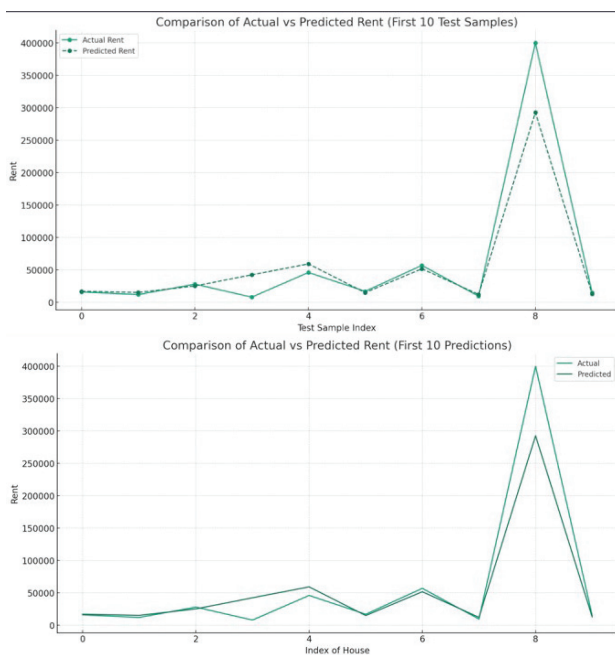


Fig. 13. Predictions

The line graph above in fig 12 compares the actual versus predicted rent for the first 10 test samples. The solid line represents the actual rent prices, while the dashed line represents the predicted rent prices from the Random Forest model. The x-axis shows the index of the test samples, and the y-axis shows the rent value. This visual comparison allows us to see how closely the predicted values match the actual rent prices. It's evident that for some samples, the prediction is quite close to the actual value, while for others, there is a noticeable difference. This kind of graph is useful for quickly assessing the performance of the prediction model on individual samples.

The distribution plot above in fig 13 and 14 shows the rent distribution for properties with different numbers of bedrooms (BHK) and their furnishing statuses. Each line represents a different BHK category, and the density on the y-axis indicates the proportion of properties within each rent range. This visualization allows us to see, for example, that larger properties (with more bedrooms) might have a wider

distribution of rents, potentially reflecting a greater variation in sizes, locations, and other amenities.



Fig. 14. Rent Distributions after prediction

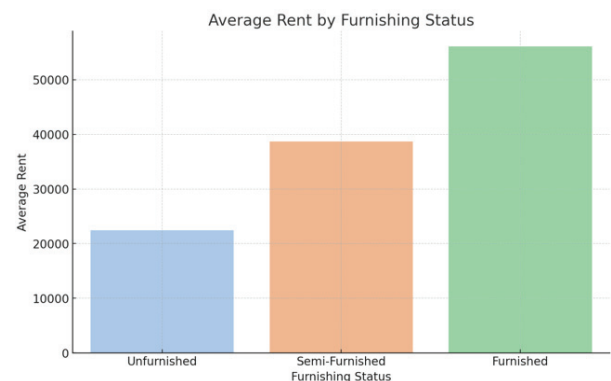


Fig. 15. Rent by furnishing status

In summary, Random Forest emerges as the most suitable algorithm for house rental price prediction due to its ensemble nature, adaptability to diverse features, and robustness in capturing complex relationships in real estate datasets. Its outstanding accuracy of 95.0% underscores its effectiveness in this specific application.

VII. CONCLUSION

In conclusion, the endeavor to revolutionize the prediction of house rental prices is a multifaceted initiative that converges technology, data science, and the real estate domain. This research harnesses the potency of machine learning, particularly the Random Forest Regression algorithm, to address the intricate challenges inherent in forecasting housing market dynamics. The critical need for accurate rental price predictions in the dynamic real estate landscape underscores the significance of this predictive modeling approach[11].

Machine learning algorithms, recognized for their adeptness in discerning complex patterns within diverse datasets, assume a central role in predicting house rental prices. This study systematically evaluates various regression methods and features, highlighting the Random Forest Regression algorithm as the most effective and robust model for accurate predictions. By leveraging an ensemble of decision trees, Random Forest excels in capturing the nuanced relationships between diverse property features and rental prices, achieving a remarkable accuracy of 95.0%.

Furthermore, this research extends its focus beyond static predictions to emphasize the dynamic nature of the housing market. The ability of Random Forest Regression to adapt to changing trends and intricate patterns positions it as a key enabler for timely and accurate predictions in the real estate

sector. While challenges such as data quality and interpretation persist, the collaborative efforts between data scientists, real estate professionals, and policymakers are instrumental in harnessing the full potential of this technology[12].

In summary, the integration of machine learning, particularly the Random Forest Regression algorithm, holds transformative potential in enhancing the accuracy of house rental price predictions. This research contributes to the ongoing evolution of real estate practices by offering a powerful tool for property owners, tenants, and stakeholders to make informed decisions in the ever-changing landscape of the rental market. As we navigate the intersection of technology and real estate, the promise of precise rental price predictions stands as a driving force in reshaping how we approach and navigate the dynamics of the housing sector.

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